



UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education
Advanced Subsidiary Level and Advanced Level

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ECONOMICS

9708/11

Paper 1 Multiple Choice (Core)

May/June 2013

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)



READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.

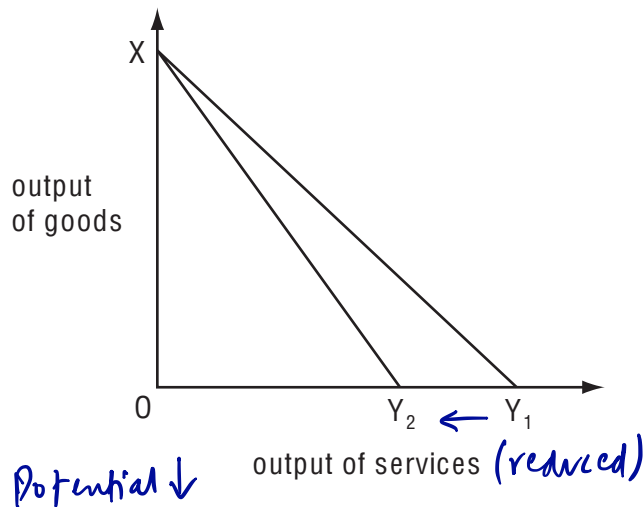
Done

[Red scribble]

This document consists of **12** printed pages.



- 1 The diagram shows the production possibility curve (PPC) of an economy that produces goods and services.



What might cause the shift of the PPC from XY_1 to XY_2 ?

- A a decrease in the demand for services, *Actual*
- ☒ B a decrease in the efficiency in the production of services *Potential ↓*
- C a decrease in the opportunity cost of producing services, *No movement shown*
- D a decrease in the resources employed in services, *No movement shown*
- 2 An economy has changed from a command economy to a market economy.
- What might increase after this change?
- A the amount of centralised decision making *Government*
- ☒ B the extent of externalities *Over and under allocation*
- C the level of government economic intervention *Government*
- D the production of merit goods *Government, under market, merit goods are under allocated*
- 3 What is most likely to be a result from the division of labour?
- ☒ A a decrease in job satisfaction *Same task being performed*
- B a decrease in productivity, *productivity ↑*
- C an increase in the cost of living *Macro concept*
- D an increase in unit labour costs, *cost ↓*

- 4 After hyperinflation, the Zimbabwe dollar was no longer used and instead the country used US dollars. A coin collector in Europe bought an old Zimbabwe 100 trillion dollar note at an auction in the hope that it would later become rare and increase in value.

If that happened, which function of money would the Zimbabwe dollar note fulfil?

A a generally accepted means of payment

B a medium of exchange

☒ C a store of value

D a unit of account

A store of value is the function of an asset that can be saved, retrieved and exchanged at a later time, and be predictably useful when retrieved. More generally, a store of value is anything that retains purchasing power into the future.

→ Store of value

- 5 In 2009, demand for second-hand used cars in Venezuela increased. Demand ↑

What could have explained this?

A a decrease in the number of Venezuelans passing their driving test Demand ↓

B a decrease in the price of public transport, Demand (second hand cars) ↓

☒ C an increase in restrictions on new cars imported into Venezuela concept of substitutes

D an increase in the domestic production of cars Demand ↓ (second hand cars)

- 6 The price elasticity of demand for a product is unitary for all price ranges. PED = 1

What will be the effect of an increase in its price? TR unchanged

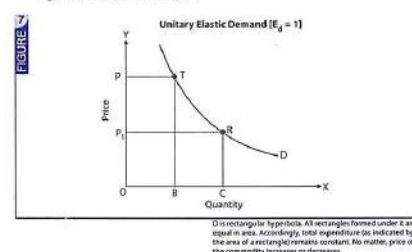
☒ A an equal proportionate decrease in the amount demanded (Definite)

B an equal proportionate decrease in expenditure on the product

C an increase in the product's percentage of total consumer expenditure

D no change in the amount of the product demanded

Fig. 7 illustrates this situation.



- 7 A fall in the price of cars causes the demand for petrol to rise by 20%. The cross-elasticity of demand between cars and petrol is -2.

Which change in car prices has brought this about?

$$XED:- \frac{\% \Delta \text{ in } Q \text{ of petrol}}{\% \Delta \text{ in price of cars}}$$

	from	to
A	\$6000	\$5000
B	\$5500	\$4500
☒ C	\$5000	\$4500
D	\$5000	\$4000

$$-16.6\%$$

$$-18.2\%$$

$$-10\%$$

$$-20\%$$

$$-2 = \frac{+20\%}{x}$$

$$|x = -10\%| \Rightarrow \text{option 'C'}$$

$$* \frac{\text{New-old}}{\text{Old}} \times 100$$

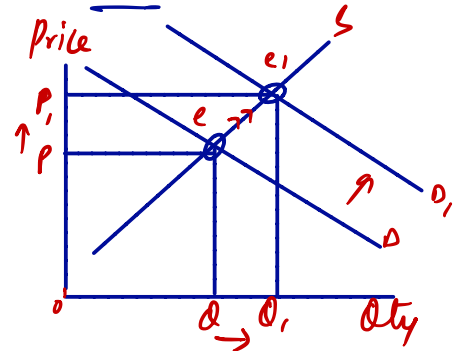
Demand ↑

4

- 8 In 2008, Ansell, makers of surgical products and rubber gloves, increased profits by 2.6%, partly because of increased safety and health concerns in Brazil, Mexico, China and Russia.

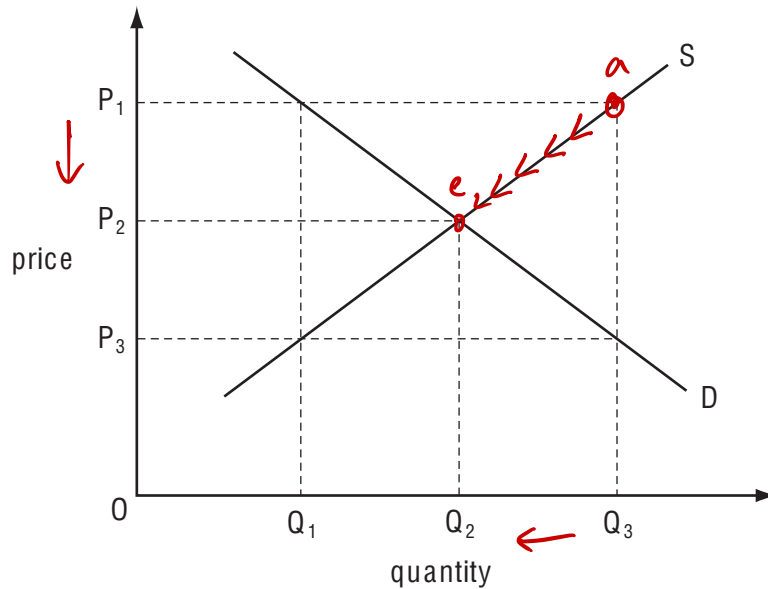
What would happen to the demand and supply curves on a diagram for Ansell's products?

	demand curve	supply curve
A	a shift to the left	a shift to the left
B	a shift to the left	a shift to the right
☒ C	☒ a shift to the right	☒ no change
D	no change	a shift to the left



- 9 Which combination of price and quantity will lead to a fall in price and a contraction in quantity produced to reach equilibrium?

Decrease



A P_1Q_1
Qty ↑

☒ B P_1Q_3

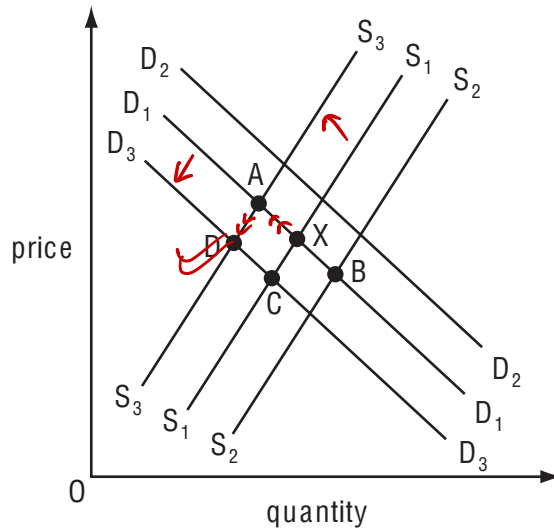
C P_3Q_1
Qty ↑

D P_3Q_3
Prices ↑

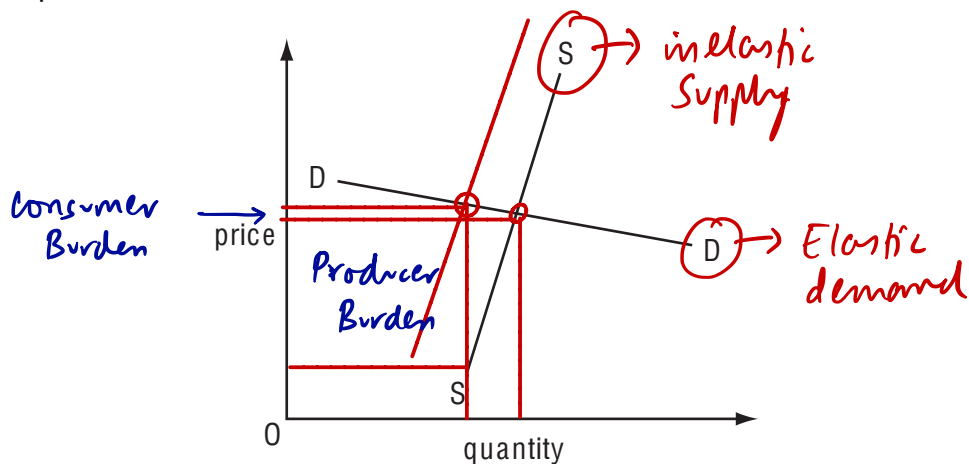
- 10 In the diagram below, D_1 and S_1 represent the demand and supply curves of a Malaysian industry in its home market. Equilibrium is at X.

The industry has to pay a large wage increase and at the same time faces increased competition from imported substitutes.

Which point on the diagram could represent the new equilibrium?



- 11 The diagram shows the demand curve and supply curve for a good on which the government imposes a specific tax.



What will be the result of this tax?

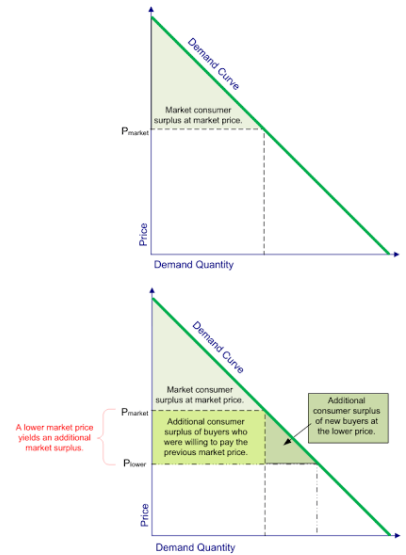
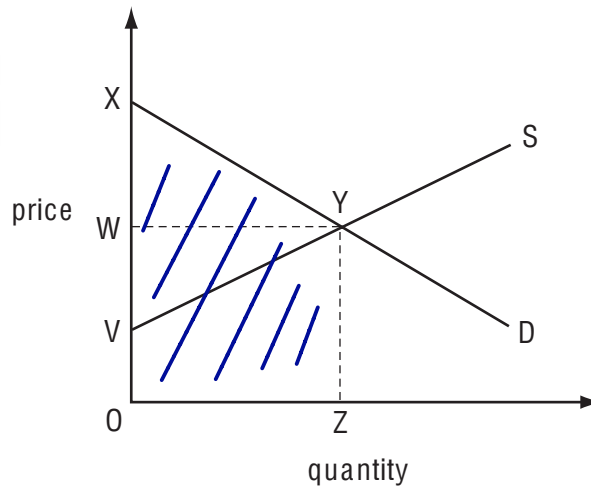
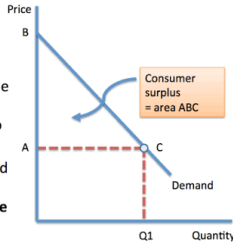
- ☒ A Most of the incidence of the tax will fall on the producer. Burden
- ☐ B There will be a new demand curve parallel to DD. no shift in demand
- ☐ C The price will rise by the full amount of the tax. in case of perfectly inelastic demand
- ☐ D The quantity bought will fall proportionately to the tax rate. no

12 The diagram shows the demand and supply curves for a product.

What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

- Consumer surplus is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.



Which area measures the total amount consumers would be willing to pay for the equilibrium level of output?

- A OWYZ ☒ B OXYZ C OVYZ D XYV

Price mechanism

13 In which case is the price system not a possible method of allocating resources?

- A in the distribution of foodstuff among the population
 B in the hiring of workers by employers
 C in the ownership of land for agricultural use
☒ D in the provision of public goods by the government

No price attached to it, free rider problem

14 A town council estimated the costs and benefits of operating a bus service in 2010 and 2011. These are shown in the table.

$$SC = PC + EC \quad SB = PB + EB$$

$$SB = SC$$

$$SC_{2011} = 3100$$

$$SB_{2011} = 3100$$

	2010 \$000	2011 \$000
private costs	2000	2200
external costs	500	900
private benefits	1500	2300
external benefits	1000	800

$$SB = SC$$

$$SC_{2010} = 2500$$

$$SB_{2010} = 2500$$

What can be concluded from the table?

- A Between 2010 and 2011, social costs fell and social benefits rose.
 B Between 2010 and 2011, social costs rose and social benefits fell.
 C In both years, positive externalities ^{EB} exceeded negative externalities ^{EC}.

- ☒ D In both years, social costs equalled social benefits.

SB > SC

- 15 A cost-benefit analysis concludes that a nuclear power station project might be socially worthwhile, although it will take 10 years to bring into operation.

Why might a government decide not to undertake the project?

A Cost-benefit analysis has no method for valuing the long-term impact of a project. *Not true*

B Cost-benefit analysis is only suitable for private sector projects. *only government*

☒ C The government believes that the project has too high an opportunity cost. *Increasing opportunity cost.*

D The government's policy is to restrict the extent of the market system. *No*

- 16 A good is more likely to be supplied by the government rather than a private company if it is

A excludable and non-rival.

B excludable and rival.

☒ C non-excludable and non-rival *public good (free rider problem)*

D non-excludable and rival

- 17 A government fixes a maximum price for a product in order to increase its consumption.

What would be the likely outcome of such a policy?

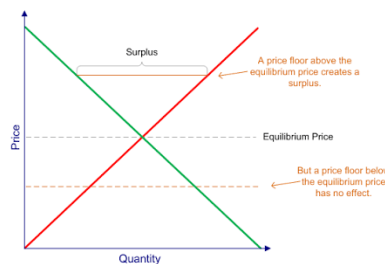
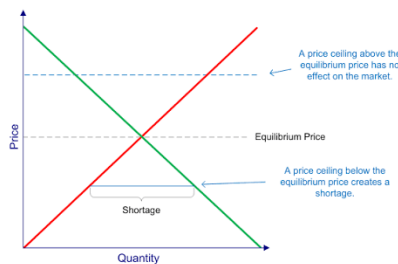
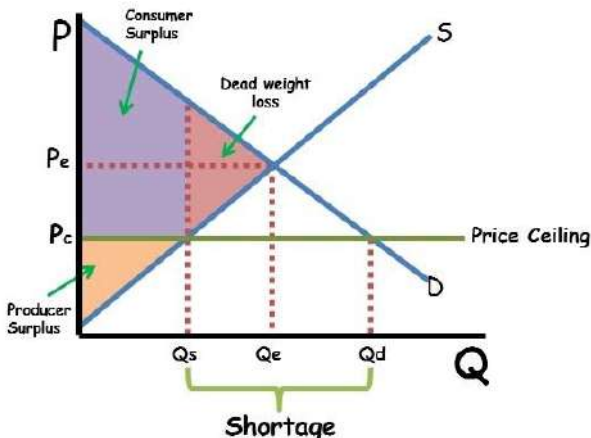
A Consumption will fall if the maximum price is above the current equilibrium price. *Ineffective*

B Consumption will rise if the maximum price is below the current equilibrium price. *shortage*

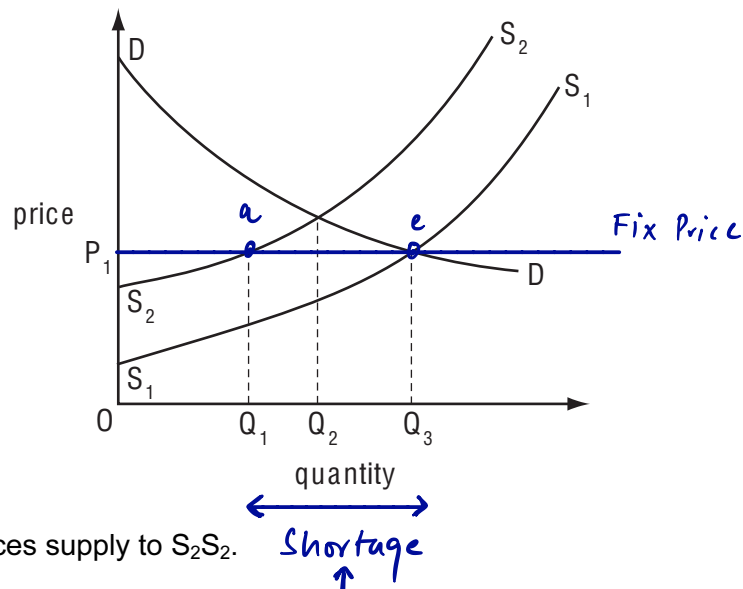
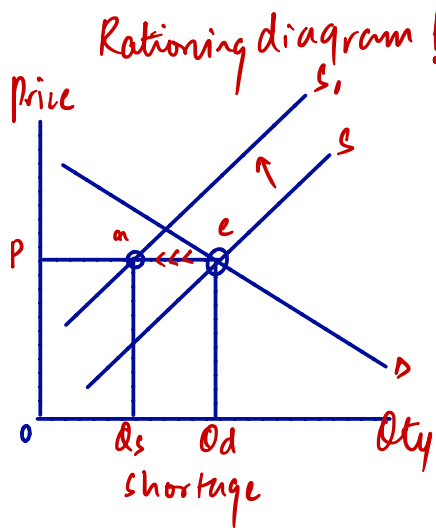
C Production will fall if the maximum price is above the current equilibrium price. *Ineffective*

☒ D Production will fall if the maximum price is below the current equilibrium price.

Existence of shortage



- 18 In the diagram, S_1S_1 and DD represent the original supply and demand curves for an agricultural product.



Bad weather then reduces supply to S_2S_2 .

How much of the product will the government have to supply if it wishes to keep the price at OP_1 ?

- A OQ_3 ☒ B Q_1Q_3 C Q_1Q_2 D Q_2Q_3

Factor endowment / specialization / lower opportunity cost

- 19 What would cause a country to lose its comparative advantage in producing rice?

☒ A Another country becomes able to produce rice at a lower opportunity cost.

B There is a global fall in demand for rice. *No existence of product*

C There is a fall in tariffs imposed by rice importers. *Moving towards free trade*

D Transport costs to and from another country producing rice decrease.

More advantage

Consumer surplus is below the demand curve and above price level.

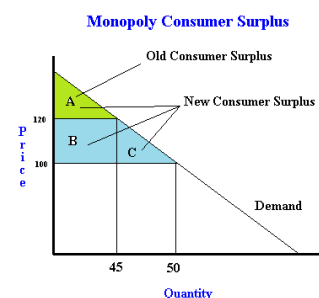
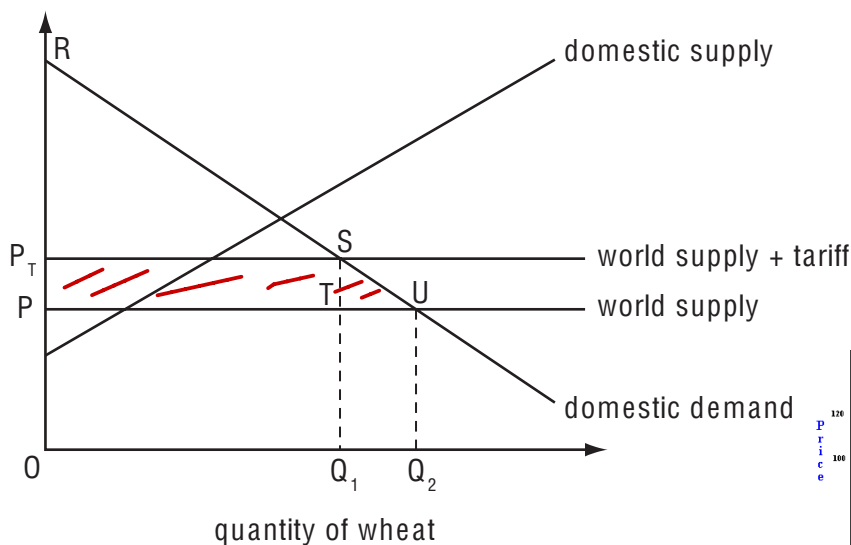
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20 The diagram shows the effects of introducing an import tariff on wheat in a country.

At 'world supply',
C.S was PRU

At 'Ws + Tariff'
C.S is $P_T R S$

Loss in C.S :-
 $PP_T S U$



Which area represents the loss of consumer surplus from the tariff?

- A P_TSR ☒ B P_TSUP C STU D SUQ_2Q_1

A customs union is generally defined as a type of trade bloc which is composed of a free trade area with a common external tariff. Customs unions are established through trade pacts where the participant countries set up common external trade policy (in some cases they use different import quotas).

21 What is a feature of a customs union?

- A the fixing of quotas for its members
B the introduction of a common currency
C the joint setting of prices
☒ D the removal of tariff barriers between its members

Free Trade Area	Customs Union	Single Market
- No tariffs between members	- No tariffs.	- No tariffs
- No external tariff (checks on country of origin)	- No border checks	- Common external tariff
- Can negotiate own trade deals	- Common external tariff	- Freedom of movement goods and people
	- Trade deals for whole customs union	- Common rules and regulations

22 The table shows the balances for four items in a country's current account on the balance of payments for two years.

	goods US\$ m	services US\$ m	income US\$ m	current transfers US\$ m
year 1	-72	84	12	-24
year 2	-87	46	-3	-4

current account
Balance

=> Zero

=> -48

What can be concluded about the changes between year 1 and year 2?

- ☒ A The current account balance has moved into deficit.
B The difference between the value of exported and imported services has increased. *reduced, 84 to 46*
C The earnings from ownership of foreign assets have increased. *Decreased, 12 to -3*
D The value of exported goods has fallen. *can't say, Data is of trade in goods and services*

23 The table shows a country's employment statistics.

$$\text{Participation rate} = \frac{\text{Labour force}}{\text{Total population}} \times 100$$

$$\Rightarrow \frac{80}{100} \times 100 \Rightarrow 80\%$$

	million
population of working age	100
number in employment	75
number unemployed	5

What are the participation rate and the unemployment rate?

	participation rate %	unemployment rate %
A	75	5.0
B	75	6.25
C	80	5.0
D	80	6.25

$$\Rightarrow \frac{\text{Unemployed}}{\text{Labour force}} \times 100$$

$$\Rightarrow \frac{5}{80} \times 100$$

$$\Rightarrow 6.25\%$$

24 The table shows the annual rate of inflation in the UK between 2005 and 2010 measured by the retail price index (RPI) and the consumer price index (CPI).

year	RPI (%)	CPI (%)
2005	2.8	2.1
2006	3.2	2.3
2007	4.3	2.3
2008	4.0	3.6
2009	-0.5	2.2
2010	4.6	3.6

What is a correct conclusion from the table?

- A** The RPI and the CPI both record a fall at some time in the general price level in the UK. *no, only RPI*
B The RPI and the CPI both show the same direction of change in inflation in each year. *no*
C The RPI records a lower rate of total inflation for the whole period than the CPI. *no*
D The RPI records a more unstable rate of inflation than the CPI.

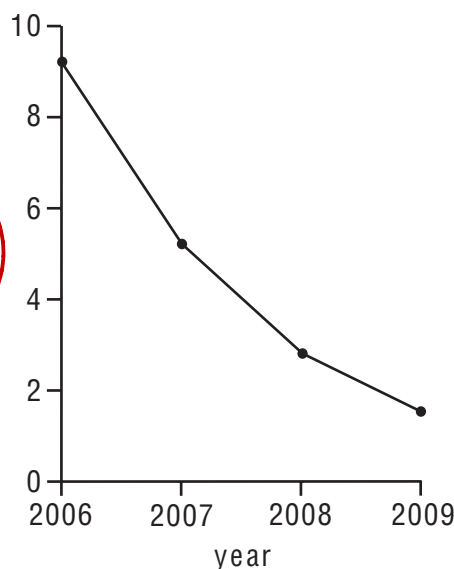
$\Downarrow$
 we saw
 inflation and
 negative inflation (deflation)

25 The diagram shows the annual rate of inflation in a country between 2006 and 2009.

It's in %, remember the concept of dis-inflation!

Prices are increasing at a decreasing rate!

rate of inflation %



Which statement about the period 2006 to 2009 is correct?

- A The cost of living fell. *It rise as prices rise*
- ☒ B The price level rose.
- C The Retail Prices Index fell. *It rose*
- D The value of money rose. *It reduces as prices rise*

26 If a country succeeds in attracting foreign direct investment in a single year, what is the result on its balance of payments in the short run and long run? *financial account (+ve) [credit]*

Immediate and subsequent effect

	short run	long run
A	a credit in the current account	a debit in the financial account
B	a debit in the current account	a credit in the financial account
☒ C	a <u>credit</u> in the <u>financial account</u>	<u>uncertain</u> in the <u>current account</u>
D	uncertain in the financial account	a credit in the current account

as it has 4 components

Money coming in, so wrong

27 Country X conducts 60% of its trade with country Y and 40% of its trade with country Z. The initial value of the trade weighted exchange rate index of country X is 100.

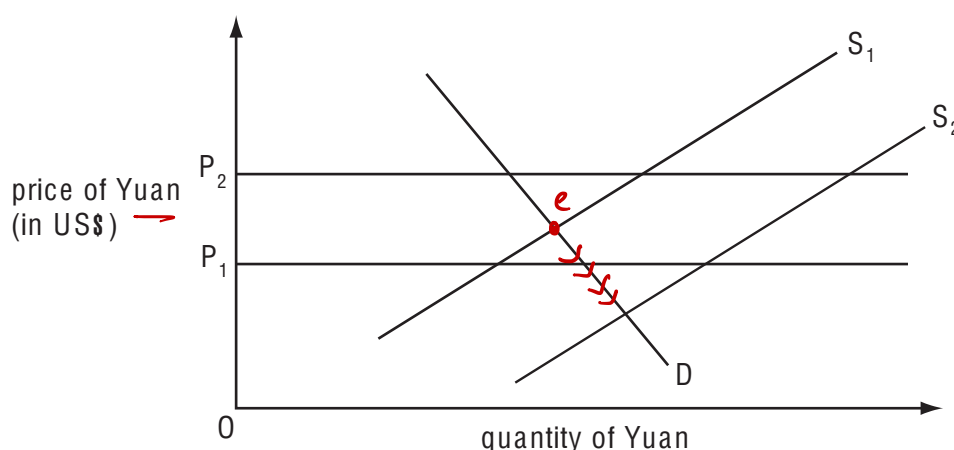
What will be its new trade weighted exchange rate index value if its currency falls in value by 20% against the currency of Y and rises by 10% against the currency of Z? *Average*

- A 84 B 90 ☒ C 92 D 116

Country X	60%	-20%	80	80×60
Country Y	$\frac{40\%}{100\%}$	+10%	110	$\frac{110 \times 40}{100}$
				9200

$$\frac{9200}{100} \Rightarrow '92'$$

- 28 Assume the Chinese monetary authorities are committed to maintaining the exchange rate of China's currency, the Yuan, against the US\$ between P_1 and P_2 on the diagram.



What might they do if supply changed from S_1 to S_2 ?

- ☒ A introduce controls on Chinese investment overseas *Controlling 'Supply' Yuan ↓*
- ☐ B lower interest rates *Supply Yuan ↑*
- ☐ C remove tariffs on imports from USA *M(TE) ↑, Supply ↑*
- ☐ D sell Yuan on the foreign exchange markets *Supply ↑*
- 29 A revaluation (appreciation) of the exchange rate of a currency always has the effect of
- ☐ A improving the current account of the balance of payments. *Depending on PED and other non-trade components*
- ☒ B improving the terms of trade. *$\frac{X_{prices}}{M_{prices}} \times 100$*
- ☐ C increasing the price of imports. *⇒ It reduces*
- ☐ D increasing the value of imports. *⇒ depends on PED*

- 30 What is an expenditure-switching policy measure?

- ☐ A decreasing income tax *Fiscal*
- ☐ B decreasing the money supply *Monetary*
- ☒ C devaluing the currency
- ☐ D increasing government spending *Fiscal*

Devaluation

$X_{prices} ↓$ $M_{prices} ↑$

* Expenditure switching policy targets to switch the expenditure of domestic residents from imported goods to domestically manufactured goods. The effectiveness of this policy depends upon price elasticity of demand